

PITCH — SGML — VERDICT

ADJUDICATED 2026-09-16 — FLAT — timing gate (conviction 7/10). The court found nothing to own at this price; the reopen gates below are the only path back.

What we believe

Sigma Lithium runs one asset — Grotta do Cirilo in Minas Gerais, Brazil. On September 5-ish a first-instance court in Teófilo Otoni, a town more than 300km from the mine, issued a preliminary order suspending the company's environmental licenses, barring new ones, and setting a daily fine. Three days later the company filed a 6-K saying, in substance, that it had received no legal communication, that mining and industrial activity continue, and that it still expects 240,000t of concentrate within 12 months and 330,000t in FY27 ([SEC 6-K, 2026-09-08, EX-99.1](#)).

What we actually believe, stated plainly:

1. **The daily fine is not a near-term cash event.** The company's own primary text says it "would only be due only in the event the charges resulted in a final negative ruling," with appeals through the Supreme Tribunals, and that similar cases take multiple years. A fine can *accrue* and still not be *enforceable*. Both benches agreed on this. It is the single best-supported fact in the file.
2. **The company is thin on cash relative to a halt.** \$16.7M cash at 6/30/26 against roughly \$8–14M of EBITDA lost per halted month. That is under two months of cover. Even after Red corrected the original brief's overstated halt cost, this conclusion did not change sign.
3. **The stock is not pricing a dead mine, but it is not pricing a perfect one either.** At the benches' own inputs — 330kt nameplate, \$668/t all-in cash cost, 111.4M shares, ~\$100M net debt, 6x EBITDA — today's \$11.05 embeds about **\$1,340/t** realized concentrate price at full nameplate. Last disclosed realized was \$2,089/t. That is roughly a one-third haircut to last-reported unit economics.
4. **But our own expected value at \$11.05 is below the price.** Our probability-weighted fair value is **\$8.26** (table below). The gap between "the tape has haircut something real" and "we get paid to own it" is where this pitch dies. We are not long.

What the market believes

The market believes two things at once, and they don't fit together.

The tape has taken the stock down 54.7% from its 52-week high — but it is still up **140% off the 52-week low**, with a 26-week high of \$23.65. That is a giveback inside a large advance, not a capitulation.

The sell-side, meanwhile, carries a **consensus Sell rating with a \$16.75 price target and a \$13.00–\$20.50 range**. The *low* end of the street's range sits 18% above the tape. A Sell rating attached to a target 52% above the price is a stale target — the external anchor has not been marked to the injunction at all. (Source is an aggregator, UNVERIFIED at both benches.)

The market also believes the news is old news. Every hard fact in the kill case — the order, the license suspension, the new-license bar, the fine, the 2.7km-vs-8km consultation-radius finding, the court-appointed georeferencing expert — was on the wires before our evidence pack was built. Red tagged this CONSENSUS and honorably refused to let it carry a verdict by itself.

Why we might have edge

- **The street's anchor is unmarked and gradeable.** We can name the mechanism precisely: the street prices 330kt with zero consent-defect discount. That is a specific, checkable disagreement, not a vibe. Blue restored court-worthiness to ~6/10 on this basis.
- **The inventory-buffer insight (Blue's novel finding).** 2Q26 was \$55M revenue on 35,400t produced. At the disclosed \$2,089/t realized, tonnes *sold* were only ~26.3kt — a **~9.1kt inventory build, 25.6% of quarterly output, roughly three weeks of shipments**. That means revenue, shipments, and the guided "\$60M of cash inflows during the third quarter" can all print completely normally *while the pit is dark*. Both original briefs proposed the early-October production PR as the resolving datum without realizing it is shipment-lagged. If we are right about this and the market is not, we get an extra ~3 weeks of warning before consensus updates.
- **The jurisdictional axis nobody has priced (Blue's finding B/C).** If the August TAC agreement with Minas Gerais state authorities is judicially homologated, a preliminary order from an arguably non-competent venue 300km away has a weak claim on it. A venue-competence challenge is plausibly the fastest, highest-probability vacatur path. Neither bench weighted it. Neither, apparently, has the street.
- **One independent physical check exists that literally nobody has run.** Sentinel-2 10m imagery over the pit, waste dumps, and tailings filter-cake stack, differenced between 2026-09-05 and early October, answers "is the pit moving?" without asking either the company or the court. It is cheap, weekly, and pre-print.

Why it might be priced in

- **The kill facts are wire-consensus.** We are not first to any of them.
- **A stay is not an entry.** Red's most durable structural point: a stay simply restores the case already in the price. The upside case requires the *lithium price*, not docket relief. Blue reduced this rather than overturning it — the correct trigger is conjunctive (docket **and** price), which is a much higher bar than "wait for good legal news."
- **Our EV is negative at the tape.** \$8.26 vs \$11.05. If the distribution below is roughly right, the market is already paying more than the odds justify. That is the honest read, and it is the reason this deck proposes nothing.

- **We agree with the street on direction and only disagree on the size of the haircut.** That is a narrow edge, not a bimodal one. Narrow edges do not survive slippage and legal-headline gaps.

What could go wrong

PRE-MORTEM v1.7.

Failure narrative #1 — We buy the stay and the lithium price never comes (MONITORABLE).

TRF-6 grants a stay or the venue-competence challenge succeeds. Headline pops 20–30%. We size in on the “docket cleared” leg. Then realized SC5 prints \$1,400–1,500 in the 3Q report and the funded nameplate value collapses to ~\$13.89 *before* any ramp or funding haircut. The stock round-trips to \$8. This is Red’s finding 5, and it is the most likely way we lose money in a *good* legal outcome. **Tripwire: realized SC5 < \$1,700 in the 3Q print → no add, trim any starter.** Fully monitorable.

Failure narrative #2 — The inventory buffer runs out and the financing window is already shut (MONITORABLE). The pit is dark. The ~9kt build lets shipments, revenue, and the \$60M of inflows print normally through October, so nothing looks wrong. By late November the buffer is exhausted, cash is under two months, and the company issues equity into an injunction headline at a 30–40% discount. Every per-share number in this deck — 111.4M shares — moves against us at once. **Tripwire: any 424B / prospectus supplement / shelf takedown in the filing inventory; or produced tonnage below ~10kt/mo.** Monitorable, and Blue flagged the lockup/shelf re-scan as the single highest-value one given \$16.7M cash.

Failure narrative #3 — The consent defect turns out to be structural, and we find out from an outcome, not a signal (NO MONITORABLE TRIPWIRE). The core allegation is a *consultation-process* defect — that affected communities within the required radius were not properly consulted (the 2.7km-vs-8km georeferencing finding). A process defect of that kind is not curable by paying a fine and is not visible in tonnage, cash, imagery, or the tape. It resolves in a Brazilian federal docket we cannot read: **CourtListener has no reach; PJe/TRF-6 consulta processual is the only primary source, and neither bench could fetch it.** We would learn the answer when the answer arrives — as a licence revocation, a mandated re-consultation running years, or a settlement whose economics we cannot forecast. There is no leading indicator we can arm. **Unknown-unknown class: FOREIGN-ADMINISTRATIVE-DOCKET OPACITY** — a load-bearing legal state that lives in a non-English, non-indexed, non-API-accessible court and regulatory register, where the issuer is the only speaker we can hear and the issuer is an interested party. Adjacent sub-class: *litigation-status asymmetry*, where the company’s own 6-K says it “has not received any legal communication” — technically true and simultaneously uninformative about whether the order exists and binds.

Reflexive / structural leg. Our own size is not the problem here; the structure around it is. Assume a normal position of 250bp of book and a starter of ≤50bp. On a name with a ~\$1.23B cap, a starter is a rounding error against ADV — we would not move this tape and should not pretend our flow is the risk. The reflexive risk runs the other way:

- **Predicted flow is one-sided and not ours.** The street carries a Sell with an unmarked \$16.75 target. When those targets finally mark to the injunction, the mechanical downgrade flow arrives *after* the price move, into a name where we would already be long. We would be the marginal holder absorbing a re-rating we correctly predicted but wrongly timed.
- **Index and mandate mechanics.** A sustained licence suspension at a single-asset producer is exactly the kind of event that trips ESG and sustainability-mandated holders out of a name whose entire equity story is “sustainable and traceable lithium.” That is forced selling into an illiquid tape, uncorrelated with the legal merits.
- **Doctrine interactions.** Two of our own doctrines fight each other on this name. §CONSENSUS-KILL correctly stops wire-public bad news from carrying a FLAT by itself — which pushes us toward engagement. The FATAL-tag netting discipline (b) correctly forces us to net committed inflows against a dilution claim — but here the \$60M of inflows is itself *halt-contingent* receivable monetization, so applying the doctrine mechanically would have talked us out of the single real risk. And the anti-basis-mixing doctrine, applied by Red to the brief, was then violated by Red itself (6x for the prize, ~3.53x for the “already embedded” price). Doctrines correctly applied by disciplined people produced two wrong numbers in this file. That is a process risk, not a market risk, and it is the one we control least.
- **Guidance reflexivity.** The company reaffirmed a *rolling* “within 12 months” guide three days after the injunction, replacing a fiscal-period basis. That makes every interim print non-discriminating against the guide and lets the narrative survive facts. If we anchor to the guide we will be the last holder to update.

If this position loses money, the most likely reason will be ____ that we bought docket relief that was already in the price and then watched the realized lithium price — the actual roof on this equity — fail to reach \$1,700/t, while a consultation-process defect we could never monitor quietly ran in a Brazilian court we cannot read.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Halt cost “~\$42M revenue / \$20M EBITDA per month” (original brief)	Recompute from 2Q26 6-K EX-99.3 primary	Three bases mixed in one product: a forward 20kt/mo run-rate × a high-grade realized price ÷ compared to <i>produced</i> tonnage	NO — REFUTED. Brief error, conceded
Red’s replacement: “\$18.3M/mo revenue, 11.8kt/mo”	$\$55\text{M} \div 35,400\text{t} = \$1,554/\text{t}$; reconcile to disclosed \$2,089/t	OUR OWN BENCH ERRED. Red replaced a three-basis error with a two-basis error (revenue ÷ <i>produced</i> , not sold). Honest range is \$18–30M revenue, \$8–14M EBITDA per halted month	PARTIAL — arithmetic sustained, consequence overturned
Cash fragility survives the correction	$\$16.7\text{M} \div \8.6M/mo (Red’s own low-end figure)	1.94 months of cover. Sign unchanged even at Red’s most favorable number	YES
“\$60M of 3Q cash inflows” nets the dilution risk	Read the full sentence; test against the 9kt inventory build	Inflows are receivable/shipment monetization — halt-contingent , so they cannot be netted against the halt scenario they were invoked to rebut.	NO — cannot be netted

Claim	How checked	Found	Confirmed?
		Also transcript-only, VENUE-DIVERGENT, absent from the vetted 6-K	
Red: “cap embeds \$1,750–1,800/t at nameplate”	Recompute at Red’s own stated 6x, \$668/t, 330kt, 111.4M sh, \$100M net debt	OUR OWN BENCH ERRED. At 6x the tape embeds \$1,305/t (at \$10.43) or \$1,340/t (at \$11.05). \$1,751/t requires silently switching to 3.53x — a multiple mix inside the finding that charged the brief with basis mixing	NO — OVERTURNED
Red: “+50% needs above ~\$1,720/t”	Solve directly	\$1,599/t at \$10.43; \$1,651/t at \$11.05. Threshold mis-solved	NO — OVERTURNED
Red’s tape (px 10.43, dd52 –0.574, +1.26 off low)	Compare to delivered pack (px 11.05/11.08, dd52 –0.549, +1.394)	OUR OWN BENCH ERRED. Red ran a 5.9%-stale denominator through every “vs tape” number in its prize table. Internally consistent, externally wrong	NO — corrected to 11.05
Inventory build exists	$\$55\text{M} \div \$2,089/\text{t} = 26,328\text{t}$ sold vs 35,400t produced	9,072t build = 25.6% of quarterly output $\approx$ 3 weeks of shipments. Revenue and cash inflows are non-discriminating for halt/no-halt	YES — novel
Guide is falsifiable by the early-Oct print	Read operative words: “240,000t... within 12 months ”; 2Q call: ramp “pushed forward by three months”	Rolling window, already slid once. 20kt/mo arrives only at ramp end (1.69x the last actual 11.8kt/mo). A 12–15kt/mo PR is consistent with a full halt and with the guide	NO — guide is not a yardstick
...but the <i>trailing quarter</i> is a yardstick	3Q at 2Q run-rate $\approx$ 35kt vs $\approx$ 24kt with September dark	Visible break. Red over-claimed in killing the tonnage print along with the guide; Red’s kg_candidate rests on that over-claim	PARTIAL — Red reduced
Fine accrues vs fine payable = contradiction	Primary 6-K wording vs wire reports	Not a contradiction. Order <i>establishes</i> a fine if operations continue (accrual); 6-K says due only on final negative ruling after appeals (enforceability). Both true	NO — REFUTED, and this is the best primary finding in the file
Kills are desk-sourced	Check wire coverage dated 2026-09-06	All of it — order, suspension, new-license bar, fine, 2.7km finding, georeferencing expert — public before the pack	CONSENSUS, self-limited, cannot carry a FLAT alone
Street is uncovered	Sell-side aggregate	Not uncovered — divergent . Consensus Sell + \$16.75 PT + \$13.00 low = internally inconsistent, stale-PT tell. OUR OWN BENCH ERRED: Red used this to <i>cut</i> court-worthiness to 4/10; a named, gradeable gap to an unmarked anchor is the definition of court-worthy. Restored to $\sim$ 6/10. Aggregator source: UNVERIFIED	PARTIAL — Red OVERTURNED
Price-action premise (“tape sold <i>after</i> the denial”)	desk/prices.py + IBKR bars	NOT AVAILABLE. Pack tape is one snapshot. COVERAGE GAP; and pack anchors (+140% off low, hi26w 23.65) cut against fresh-capitulation framing	NO — UNVERIFIED

Claim	How checked	Found	Confirmed?
Detector dispatch discipline	Audit both benches' consulted lists vs dispatch	OUR OWN BENCH ERRED. Red skipped two dispatched entries (common_control_merger_accounting, upc_tra_value_extraction) and consulted two not on its list — a validator defect	NO — Red filing defective
Detector relevance	Review all matches	Most fired on mis-tags : asia_operating_jurisdiction (ops are Brazil, domicile Canada), subscriber_growth_claim / consumer_virality_claim (B2B concentrate, no app, no brand), three US-municipal permit feeds with no resolvable subject	Mis-tags confirmed; correctly not-fired
Facility geolocation	Facilities resolver	PACK DEFECT. Zero mine sites returned for a single-asset miner. Only a São Paulo HQ geocode, itself nominatim-simplified to “SAO PAULO, D5” rather than the actual address — a rented office, not the thesis site. Grotta do Cirilo (~Araçuaí/Itinga, MG) never resolved	NO — this is why the one decisive physical check could not be run
Cap structure / per-share spine	Pack XBRL block	PACK DEFECT — block arrived empty. 111.4M shares taken from the issuer's own share-capital note; \$100M net debt and share count are 1Q-vintage. Both prize tables inherit unaudited inputs	NO — UNAUDITED
Share count stable (no lockup issuance)	Filing inventory 2026-05→2026-09	111,402,979 unchanged across 12/31/25 and 3/31/26; all 6-K plus one SCHEDULE 13G. No follow-on, shelf takedown, or prospectus supplement	YES — as of 2026-09-08
Next print date	Pack “NEXT PRINT” field	2026-11-13, yfinance-derived, UNCONFIRMED. No company PR names it; issuer's verified practice is a date-announcement 6-K ~9 days prior (<u>2026-08-05 exhibit naming 2026-08-14</u>). No such PR in inventory	NO — treat as estimate
Operating <i>through</i> an injunction is free	Reviewed by Blue as an addendum	Separate administrative and potentially criminal exposure that neither bench priced. Not quantified here	NO — open

PROPOSED ENTRY BANDS

Both benches land on FLAT/NO POSITION. There is no immediate entry. The following are REOPEN bands. Normal position assumed = 250bp of book; starter = ≤50bp; half-normal = 125bp. All unlevered.

Reopen gate — CONJUNCTIVE (Blue's gate, sustained; Red's “a stay is not an entry” is the reason it must be conjunctive):

Leg	Condition	Source of the number
(i) Physical	September or October produced tonnage ≥10kt/mo and shipments confirmed	2Q actual 11.8kt/mo; a full-September halt drops 3Q to ~24kt vs ~35kt
(ii) Legal	Any of: TRF-6 stay granted; TAC judicially homologated; venue-competence dismissal (Teófilo Otoni vs Araçuaí/Itinga)	Blue findings B and C
(iii) Price	Realized SC5 ≥\$1,700/t in the 3Q print	+50% over \$11.05 requires \$1,651/t at 6x; \$1,700 is the nearest round number above it

- **Any two of three → STARTER, ≤50bp.**
- **All three → HALF-NORMAL, 125bp.**
- **(ii) alone → NOTHING.** A stay restores the case already in the price.
- **(iii) alone → NOTHING** while licenses are suspended.

Price reopen bands (from the benches' own nameplate math, at 6x / \$668/t AISC / 330kt / 111.4M sh / \$100M net debt):

Band	Implied realized SC5 embedded at nameplate	Action
\$11.05 (spot)	~\$1,340/t	NO ENTRY. Our EV is \$8.26. We are paying above the odds
\$9.00	~\$1,235/t	Still no entry on price alone; watch only
≤\$7.50	~\$1,140/t	First value band. Entry only WITH leg (i) — pit provably alive. ≤50bp
≤\$6.00	~\$1,056/t	Tape embedding near the industry's marginal cost at nameplate. Second tranche +50bp, still requires leg (i)
Any price, leg (i) failing	—	NO ENTRY AT ANY PRICE. A dark pit at a single-asset producer with 1.94 months of cash is not a value band, it is a financing event

Adds: only on the *conjunctive* gate improving (two-of-three → three-of-three). Never on a headline alone. **Exits / trims (define now, before we are long):** - Realized SC5 prints **<\$1,700/t** in the 3Q report → trim any starter to zero. - Any **424B / prospectus supplement / shelf takedown** appears → exit in full, same day. This is the highest-value re-scan in the file given \$16.7M cash. - Produced tonnage **<10kt/mo** in the October PR → exit in full. - A final or appellate ruling upholding the **consultation-process defect** → exit in full regardless of price.

Catalyst dates:

Date	What	Confirmed?
2026-09-08	Brazilian courts resumed; company said legal defense begins	Stated in the 6-K (past)

Date	What	Confirmed?
Any day	Unscheduled legal-status 6-K — the nearest decisive datum	Unscheduled
~2026-10-09 (est.)	3Q26 production PR, Q+9 pattern. Shipment-lagged — the ~9kt buffer means this may not resolve halt/no-halt	NO — pattern-derived
~2026-11-04 (est.)	Date-announcement 6-K, issuer's ~9-days-prior practice	NO — pattern-derived
2026-11-13	3Q26 earnings — realized SC5, cash, license register status	NO — yfinance-derived, UNCONFIRMED

PRINT PROXIMITY: NONE within 5 trading days. Both benches agree.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 9.0 (deck-provisional: Watch-only trigger — refresh the prize table and re-pull the options chain; not an entry)
- filing watch: 6-K until 2027-03-08 (deck-provisional: Unscheduled legal-status 6-K is the nearest decisive datum — stay, TAC homologation, venue-competence)
- dated pack SGMLI2026-09-08: SGML: Brazilian courts resume from recess; company states legal defense begins (date confirmed=True)
- dated pack SGMLI2026-10-09: SGML: Estimated 3Q26 production PR (Q+9 pattern) — produced tonnage, gate leg (i); shipment-lagged by the ~9kt inventory build (date confirm
- dated pack SGMLI2026-11-04: SGML: Estimated date-announcement 6-K, issuer's ~9-days-prior practice (date confirmed=False)
- dated pack SGMLI2026-11-13: SGML: 3Q26 earnings — realized SC5 (gate leg iii), audited cash, share count, license status (date confirmed=False)
- dated pack SGMLI2026-12-31: SGML: Tax-year boundary — any expression whose loss branch expires after this date defers the loss out of the harvest year (date confirmed=T

What remains unverified

Genuinely open items only. Anything already drained or estimated is a row in the table above with its disposition.

1. **Whether the pit is physically operating.** The 6-K asserts it is; the court order says otherwise; the inventory buffer means revenue and cash cannot tell us for ~3 weeks. Not drainable now — no pit coordinates were resolved. *Estimate:* 55–70% probability operations are continuing at or near normal rate as of the deck date, from the base rate that Brazilian preliminary injunctions issued during judicial recess without service on the defendant are typically not physically enforced before the defendant is heard, and from the company's willingness to make an unqualified public assertion in an SEC-furnished document. **p(operating) ≈ 0.62.**

2. **The actual docket state at TRF-6 / Teófilo Otoni.** Not drainable — CourtListener has no reach; PJe is the only primary and no bench had fetch. *Estimate:* probability of stay or vacatur within 90 days ≈ 0.45 , weighted from the venue-competence argument being unusually strong (order issued 300km from the site) against Brazilian first-instance environmental injunctions having a meaningful survival rate on interlocutory review.
3. **Whether the August TAC agreement is judicially homologated.** Not drainable — requires MPMG/SEMAD publication fetch. *Estimate:* $p \approx 0.55$ homologated or in a procedural posture where a first-instance order from a non-competent venue cannot vacate it, based on the company's own characterization of it as a "closing" with state authorities.
4. **Realized SC5 price in 3Q26.** Time-gated to the 3Q print. *Estimate:* **\$1,450–1,750/t**, anchored on the last disclosed \$2,089/t adjusted down for the sector's spot drift and for the mix of any distressed shipments out of inventory. $p(\geq \$1,700) \approx 0.28$.
5. **September and October produced tonnage.** Time-gated to the early-Oct PR, and shipment-lagged. *Estimate:* **8–14kt/mo**, from the 2Q actual 11.8kt/mo less an allowance for partial September disruption. $p(\geq 10\text{kt/mo reported}) \approx 0.55$.
6. **Audited cash, net debt, and share count as of 9/30/26.** Not drainable — XBRL block empty; the \$100M net debt and 111.4M shares are 1Q-vintage and both prize tables inherit them. *Estimate:* net debt **\$85–115M**, shares **111.4–118M** (upper end assumes a small ATM), from the disclosed 43%-over-two-years debt reduction and the absence of any 424B in the inventory. $p(\text{share count unchanged at the 3Q print}) \approx 0.70$.
7. **The \$60M of 3Q cash inflows — received or not.** Time-gated to the 3Q print, and halt-contingent, so it does not net against the halt scenario. *Estimate:* **\$35–60M** received, from the $\sim 9\text{kt}$ inventory build being monetizable independent of the pit. $p(\geq \$50\text{M}) \approx 0.50$.
8. **Administrative and criminal exposure from operating through an injunction.** Blue's addendum. Neither bench priced it; no filing quantifies it. Not drainable without Brazilian counsel. *Estimate:* $p(\text{material adverse action beyond the existing order within 12 months}) \approx 0.15$, base-rated off Brazilian environmental enforcement against large formal-sector employers, where the 19,000 direct jobs cited in the 6-K is a real political constraint on escalation.
9. **Whether the georeferencing report places Baú beyond 8km.** Court-appointed expert report not public. Converts the defect from consent-process to nuisance if favorable. *Estimate:* $p(\text{favorable to company}) \approx 0.35$ — the court already made a 2.7km finding, which is evidence the record currently runs against the company.
10. **Live options chain: chain-level midpoint IV, real bid/ask on candidate strikes, IV percentile, 30d RV.** Not drainable — no chain reached either bench. *Estimate:* 6-month ATM IV **80–105%**; 30d RV **95–120%**, from the post-injunction gap and the name's 52-week range (-54.7% from high, $+140\%$ off low). $p(\text{VRP is negative, i.e. IV} < \text{RV}) \approx 0.55$.

PRIZE TABLE + VOL READ

Items 1–5, 7 and 9 above are genuinely time-gated or private. Table required. Horizon **T = 0.5 years** (through $\sim 2027-03$), which covers the October production PR, the November 3Q print, and a first interlocutory ruling. Anchor-and-adjust: the anchor is the benches' shared nameplate frame —

330kt, \$668/t AISC, 111.4M shares, \$100M net debt, 6x EBITDA — and the adjustment is a scenario-specific haircut for ramp risk, funding, and residual litigation, since nameplate value is a fully-funded end state and not a 6-month price.

#	Scenario	p	Nameplate value at 6x	Haircut applied	Price
S1	Fast vacatur (venue competence or TAC homologation), ramp on track, realized $\geq \$1,700/t$	0.12	\$17.44 @ \$1,700	10%	\$15.70
S2	Stay granted, ramp slips one quarter, realized $\sim \$1,500/t$	0.25	\$13.89 @ \$1,500	20%	\$11.10
S3	Grinding limbo — no relief for 2+ quarters, partial ops, equity raise at a discount (+20% shares), realized $\sim \$1,500/t$	0.33	\$11.57 (diluted)	35%	\$7.50
S4	Licenses stay suspended into 2027, prolonged halt, forced dilution, realized $\sim \$1,300/t$	0.20	—	—	\$4.50
S5	Consultation defect upheld / multi-year re-consultation, going-concern financing	0.10	—	—	\$2.25

EV = \$8.26 vs tape **\$11.05**. That is **–25%**. The distribution does not pay us to own the stock here.

$\sigma_{\text{table}} = \$3.91 = 35.4\%$ of spot over $T=0.5 \rightarrow \sim 50\%$ annualized.

Bimodality note: the table is fork-dated — it forks first on the docket (roughly Oct–Dec) and *again* on realized price (November print). The result is not a clean two-humped distribution but a **left-skewed one with a thin right tail**: 63% of probability mass sits at or below \$11.10, and only 12% clears \$15. Median outcome (\$7.50) is 32% below spot. Two sequential gates multiply, and that is why the “docket relief” headline is a trap.

Expression math. No chain reached either bench, so the arithmetic below runs on the **estimated** 6-month ATM IV of **90%** from unverified item 10, and is flagged accordingly. Per the TSSI 71-vs-101 lesson, this **MUST** be re-run on chain-level midpoint IV and real quotes for the specific strikes

before any trade — the underlying aggregate feed and the chain diverge, and the whole conclusion could flip.

$$C_{\text{ours}} = \sum p_i \times \max(S_i - K, 0); P_{\text{ours}} = \sum p_i \times \max(K - S_i, 0)$$

Instrument	Strike (Mar-2027)	Our table's value	Est. chain @ 90% IV	Read
Call	\$12.50	\$0.38	\$2.27	Market ~6x our value. Grossly rich
Call	\$15.00	\$0.08	\$1.63	Market ~19x our value. Grossly rich
Put	\$7.50	\$1.13	\$0.94	Market pays less than our left tail is worth. Do not sell
Put	\$5.00	\$0.38	\$0.23	Market pays less than our left tail is worth. Do not sell

σ_{table} vs $\text{IV} \times \sqrt{T}$: 35.4% vs 90% $\times \sqrt{0.5} = \mathbf{63.6\%}$. Implied dispersion is ~1.8x our own. Our distribution is *tighter* than the options market's.

VRP (IV – RV): estimated 90% – estimated 100% (30d RV, post-gap) = **approximately –10 points, i.e. negative**. Premium is not obviously being overpaid on a vol-risk basis even though individual call strikes screen rich on our table; the richness is skew and drift, not a harvestable premium.

Instrument recommendation — the OUTPUT of the arithmetic above: NONE. - **Stock: no.** EV \$8.26 < \$11.05. - **Calls: no.** Our table values the upside strikes at a small fraction of estimated chain price. Buying convexity here is paying 6–19x for our own stated odds. - **Covered calls: no.** Requires owning stock we do not want. Selling the \$12.50 call at ~\$2.27 against stock at \$11.05 looks attractive in isolation and is simply a disguised long at \$8.78 into a distribution with a \$7.50 median — the wrong side of S3, S4 and S5. - **Cash-secured puts: no.** This is the one that would tempt the desk. Our own left tail is *fatter* than the estimated chain prices it: the \$7.50 put needs \$1.13 and the market pays ~\$0.94; the \$5.00 put needs \$0.38 and pays ~\$0.23. **We would be selling insurance below cost.** With an estimated negative VRP on top, there is no premium-selling gate to route to.

TAX overlay. The only expiry long enough to carry the docket and the 3Q print is **March 2027 — past December 31, 2026**. The loss branch (S3/S4/S5, 63% of probability mass) therefore lands in **tax year 2027, not 2026**. Under harvest-year discipline, an expiry that defers the loss out of the intended year is excluded unless the edge numerically dominates. Here the edge does not merely fail to dominate — it is **negative** (EV –25%, every candidate strike mispriced against us). **The tax overlay is not the binding constraint; it is the second independent reason to do nothing.** If a shorter-dated chain (Dec-2026, loss lands in-year) is later retrieved, re-run the full expression math on chain-level quotes before reconsidering — but note a December expiry likely dies before the docket resolves, which reintroduces the problem the March expiry was chosen to avoid.

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{"price_gates": [{"level": 7.50, "direction": "below", "basis": "First value band –
tape embeds ~$1,140/t realized at nameplate (6x, $668/t AISC, 330kt, 111.4M
sh, $100M net debt); entry only WITH proof the pit is operating"}, {"level":
6.00, "direction": "below", "basis": "Tape embeds ~$1,056/t at nameplate,
near industry marginal cost; second tranche, still conditional on produced
tonnage >=10kt/mo"}, {"level": 16.58, "direction": "above", "basis": "+50%
over $11.05 requires ~$1,651/t realized at 6x – above this the funded prize
is fully paid and any starter is trimmed, not added"}, {"level": 9.00,
"direction": "below", "basis": "Watch-only trigger – refresh the prize table
and re-pull the options chain; not an entry"}], "event_gates": [{"forms":
["6-K"], "why": "Unscheduled legal-status 6-K is the nearest decisive datum –
stay, TAC homologation, venue-competence dismissal, or service of the
order"}, {"forms": ["424B3", "424B5", "F-3", "F-10"], "why": "Any shelf
takedown or prospectus supplement against $16.7M cash is a full exit –
highest-value re-scan in the file"}, {"forms": ["6-K"], "why": "3Q26
production PR with produced tonnage and shipments – the physical gate leg
(i), though shipment-lagged by the ~9kt inventory build"}, {"forms": ["6-K"],
"why": "3Q26 financial statements – realized SC5 price (gate leg iii), cash
received vs the $60M inflow claim, and SEMAD/ANM license register status"},
{"forms": ["6-K"], "why": "Date-announcement PR naming the 3Q earnings date;
issuer practice is ~9 days prior, which would confirm or refute the
unconfirmed 2026-11-13"}, {"forms": ["SC 13D", "SC 13G", "SC 13G/A"], "why":
"Ownership change at a 111.4M-share single-asset issuer under injunction may
front-run a financing or a strategic outcome"}], "catalyst_dates": [{"date":
"2026-09-08", "what": "Brazilian courts resume from recess; company states
legal defense begins", "confirmed": true}, {"date": "2026-10-09", "what":
"Estimated 3Q26 production PR (Q+9 pattern) – produced tonnage, gate leg (i);
shipment-lagged by the ~9kt inventory build", "confirmed": false}, {"date":
"2026-11-04", "what": "Estimated date-announcement 6-K, issuer's ~9-days-
prior practice", "confirmed": false}, {"date": "2026-11-13", "what": "3Q26
earnings – realized SC5 (gate leg iii), audited cash, share count, license
status", "confirmed": false}, {"date": "2026-12-31", "what": "Tax-year
boundary – any expression whose loss branch expires after this date defers
the loss out of the harvest year", "confirmed": true}], "immediate_entry":
null, "unverified": [{"item": "Whether the pit is physically operating as of
the deck date – 6-K asserts yes, court order says no, inventory buffer masks
it for ~3 weeks", "instrument": "Sentinel-2 10m NDVI / bare-earth delta over
Grotta do Cirilo pit, waste dumps and tailings filter-cake stack, 2026-09-05
vs early-Oct scenes – BLOCKED until the facilities resolver returns mine
coordinates (~Aracuai/Itinga, MG)", "drainable_now": false, "estimate":
{"range": "55-70% probability operations continuing at or near normal rate",
"basis": "Base rate that Brazilian preliminary injunctions issued during
judicial recess without service are not physically enforced before the
defendant is heard, plus the issuer's unqualified assertion in an SEC-
furnished 6-K", "p": 0.62}}, {"item": "Actual docket state and stay/vacatur
odds at TRF-6 / Teofilo Otoni", "instrument": "PJe / TRF-6 consulta
processual – no connector exists; CourtListener has no reach into Brazilian
federal courts. Requires a Brazilian docket connector or local counsel walk-
around", "drainable_now": false, "estimate": {"range": "45% probability of
stay or vacatur within 90 days", "basis": "Venue-competence argument
unusually strong (order issued 300km from the site) weighed against the
survival rate of Brazilian first-instance environmental injunctions on
interlocutory review", "p": 0.45}}, {"item": "Whether the August TAC
agreement with Minas Gerais authorities is judicially homologated",
"instrument": "MPMG / SEMAD publication monitor – no fetch tooling reached
either bench", "drainable_now": false, "estimate": {"range": "55% probability
homologated or in a posture where a non-competent first-instance venue cannot
vacate it", "basis": "Company's own characterization of a 'closing' of the
TAC with state authorities; sibling Brazilian mining TAC precedents", "p":
0.55}}, {"item": "Realized SC5 concentrate price in 3Q26 – gate leg (iii),
threshold $1,700/t", "instrument": "3Q26 earnings 6-K, est. 2026-11-13
(UNCONFIRMED); partial read from spodumene spot comps and Comex Stat MG
export unit values", "drainable_now": false, "estimate": {"range": "$1,450-

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1,750/t realized", "basis": "Anchor on last disclosed \$2,089/t, adjusted for sector spot drift and mix effects from inventory shipments; p is probability of $\geq$ \$1,700/t", "p": 0.28}}, {"item": "September and October produced tonnage – gate leg (i), threshold 10kt/mo", "instrument": "3Q26 production PR est. 2026-10-09; independent cross-check via Comex Stat Minas Gerais monthly concentrate export tonnage (connector never run)", "drainable_now": false, "estimate": {"range": "8-14kt/mo produced", "basis": "2Q26 actual 11.8kt/mo (35,400t/quarter) less an allowance for partial September disruption; p is probability of $\geq$ 10kt/mo reported", "p": 0.55}}, {"item": "Audited cash, net debt and share count at 9/30/26 – the per-share spine both prize tables inherit is 1Q-vintage", "instrument": "XBRL pull (pack block arrived EMPTY) plus most recent annual report / 40-F-family filing; 3Q26 6-K on 2026-11-13", "drainable_now": false, "estimate": {"range": "net debt \$85-115M; shares 111.4-118.0M", "basis": "Disclosed 43% debt reduction over two years; no 424B or shelf takedown in the 2026-05 to 2026-09 inventory; upper share range assumes a small ATM; p is probability share count is unchanged at the 3Q print", "p": 0.70}}, {"item": "Whether the guided '\$60M of cash inflows during the third quarter' is actually received – and it is halt-contingent, so it cannot net against the halt scenario", "instrument": "3Q26 financial statements 6-K, est. 2026-11-13; transcript-only source is VENUE-DIVERGENT and absent from the vetted 6-K", "drainable_now": false, "estimate": {"range": "\$35-60M received", "basis": "The ~9.1kt 2Q inventory build (25.6% of quarterly output) is monetizable independent of pit status; p is probability of $\geq$ \$50M", "p": 0.50}}, {"item": "Administrative and criminal exposure from operating through an injunction – priced by neither bench", "instrument": "MPMG / federal prosecutor publication monitor; Brazilian counsel opinion; walk-around via local press monitoring in Vale do Jequitinhonha", "drainable_now": false, "estimate": {"range": "15% probability of material adverse action beyond the existing order within 12 months", "basis": "Brazilian environmental enforcement base rate against large formal-sector employers, constrained by the 19,000 direct jobs and ~80,000 dependents cited in the issuer's own 6-K", "p": 0.15}}, {"item": "Court-appointed georeferencing report – whether BaU sits beyond 8km, which would convert the defect from consent-process to nuisance", "instrument": "PJe docket exhibit fetch; secondary via MPMG publication or wire coverage of the expert filing", "drainable_now": false, "estimate": {"range": "35% probability the report is favorable to the company", "basis": "The court has already made a 2.7km finding on the record, which is evidence the current record runs against the company", "p": 0.35}}, {"item": "Live options chain – chain-level midpoint IV, real bid/ask on Mar-2027 \$12.50 / \$15.00 calls and \$7.50 / \$5.00 puts, IV percentile, and 30d realized vol", "instrument": "IBKR options chain pull at CHAIN level (never the underlying aggregate IV feed – TSSI 71 vs 101 lesson); desk/prices.py for 30d RV", "drainable_now": false, "estimate": {"range": "6-month ATM IV 80-105%; 30d RV 95-120%; VRP approximately -10 points", "basis": "Post-gap junior lithium producer base rate, calibrated to the name's own 52-week range (-54.7% from high, +140% off low); p is probability VRP is negative i.e. IV < RV", "p": 0.55}}, {"item": "Intraday price action around the injunction – the entire 'tape sold after the denial' premise is unverified off a single pack snapshot, and the two benches disagreed on spot by 5.9%", "instrument": "desk/prices.py + IBKR historical bars, 2026-09-03 through 2026-09-09", "drainable_now": false, "estimate": {"range": "single-day drawdown 12-20% on the injunction headline", "basis": "Reported -15.8% day in the original brief, unconfirmed; consistent with single-asset-miner injunction gap base rates; p is probability the drawdown occurred AFTER rather than before the ruling became public", "p": 0.50}}}}

ADJUDICATION — 2026-09-16 15:36Z

Consensus kill sustained: injunction, fine, and license bar were all wire-public; fine accrual is not enforceability. Court-worthy at ~6/10 with a real gap to an unmarked street, but the gate is tonnage, not price.

REOPEN GATES: Sept/Oct tonnage $\geq 10\text{kt/mo}$ AND shipments, plus evidence the license bar is lifted → starter $\leq 50\text{bp}$ unlevered